

Chapter 9: Economics Development, Growth and Capital Formation

Meaning of Economic Development

Economic development is defined as the increase in per capita income over a long period of time. In other words, economic development is the reduction in unemployment, poverty and income inequality. But recently, the concept of economic development has been widened so that it involves not only reduction in poverty, inequality and unemployment but also requires improvement in quality of life which includes cleaner environment, better education, good health and nutrition.

Economic Growth

Economic growth is defined as the increase in productive capacity of an economy over time. It is a quantitative term as it represents quantitative increase in production of goods and services in an economy over time.

Indicators of Economic Development

The indicators of economic development are the changes, which occur in the process of development. The major indicators of economic development are as follows:

1. Real gross national product
2. Per capita income
3. Basic human needs
4. Physical quality of life index
5. Human development index
 - i. Long and healthy life
 - ii. Knowledge
 - iii. Standard of living

Developing Countries

Developing countries are those countries which are low per capita income compare to developed countries like USA, UK, Japan, etc. In these types of countries, the process of developing is going on but not completed.

Characteristics of Developing Countries

1. Low per capita income
2. Mass poverty
3. High population growth
4. Excessive dependence on agriculture
5. Underutilization of natural resources
6. Unemployment and underemployment
7. Technological backwardness

8. Dualistic economy
9. Dependence on primary exports
10. Inadequate social services

Capital Formation Process

Capital formation involves making more and more capital goods. It is defined in both narrow and wider sense. In the narrow sense, it refers to the expenditure on fixed capitals such as machines, tools, etc. over a period of time. In the wider sense, it includes investment in human capital along with material capital.

Process of Capital Formation

1. Creation of saving
2. Mobilization of saving
3. Investment of saving